



Cambridge O Level

ECONOMICS

2281/11

Paper 1 Multiple Choice

May/June 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

[Handwritten signature] *Dine*

This document has **12** pages. Any blank pages are indicated.

unlimited in supply, no opportunity cost, e.g. sunlight/air

1 What is a free good?

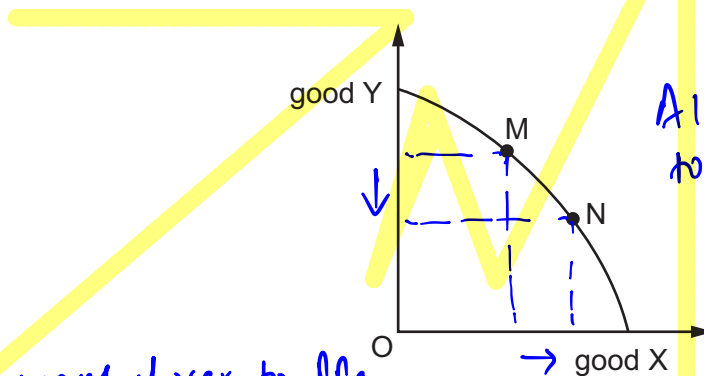
- A free samples of a new product
- B health services provided by the state
- C second-hand clothing
- ☒ D sunlight

2 A firm is deciding whether to produce good X or good Y for the next five years. The predicted revenue for good X is \$20 000 per year and for good Y is \$18 000 per year.

What is the opportunity cost of producing good X? , forgoe good Y, $\$18\,000 \times 5 = \$90\,000$

- A \$18 000
- B \$20 000
- ☒ C \$90 000
- D \$100 000

3 The diagram shows a production possibility curve (PPC) for an economy.



Allocation of resources towards good X.

actual moves closer to PPC.

What is the reason for the economy moving from point M to point N?

- A decreased unemployment in industries producing good X
- B improvement in technology used to produce good X
- C increased productivity of workers producing good X
- ☒ D increased resource allocation to the production of good X

Shift in PPC

Resource reallocation

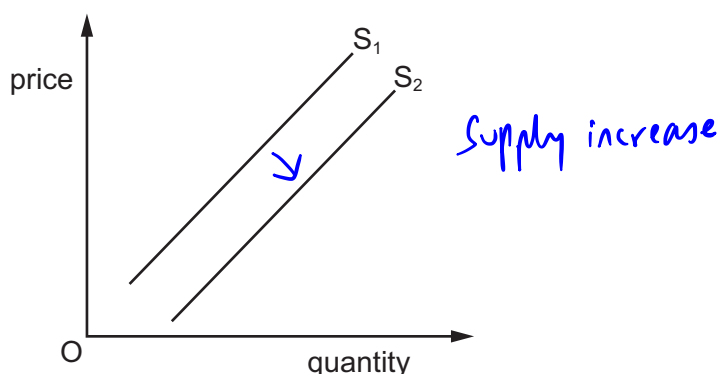
Price

4 What is not held constant when drawing a demand curve for a good or service?

- A consumers' incomes
- B tastes and preferences
- C the price of substitutes
- ☒ D the price of the good or service

other factors, causes shift. (These are held constant)

- 5 The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the most likely cause of this shift?

- ☒ A a decrease in the costs of New Zealand's airlines *Cost ↓, Supply ↑*
☐ B a decrease in the number of people wanting to fly to New Zealand *D ↓*
☐ C an increase in the price of train and bus travel in New Zealand *Demand ↑ (airline)*
☐ D an increase in the tax on air travel in New Zealand *Indirect tax, S ↓*

- 6 What could cause the price of tea to increase?

- ☐ A decrease in the demand for tea *Demand ↓, price ↓*
☐ B decrease in the price of a substitute good *D ↓, price ↓*
☒ C increase in the price of a substitute good *Demand ↑, price ↑*
☐ D increase in the supply of tea *Supply ↑, Price ↓*

- 7 A firm changes the price of its product and finds that its revenue increases.

Which combination of price change and price elasticity of demand would have caused this?

	price	price elasticity of demand	
☐ A	falls	between 0 and 1	<i>Inelastic, P ↓, TR ↓</i>
☐ B	falls	equal to 1	<i>Unitary, TR unchanged</i>
☒ C	rises	between 0 and 1	<i>Inelastic, P ↑, TR ↑</i>
☐ D	rises	greater than 1	<i>Elastic, P ↑, TR ↓</i>

Demand and Supply (price mechanism)

8 What could not occur in a market economic system?

- A a monopolist supplying specialist goods to the market
- B excessive pollution created by power stations
- ☒ C governments setting minimum wages to relieve poverty
- D private ownership of firms making defence equipment

All actions part
of market
system

No role of government in market system.

9 What is a correct definition of a demerit good? (Harmful) (Social cost exceeds private cost)

- A a good which generates external benefits *Merit good*
- B a good with higher private costs than social costs *Not possible, $SC = PC + EC$*
- ☒ C a good which is more harmful to consumers than they realise *Ignorance*
- D a good which provides no costs to third parties *Not possible in case of demerit good*

10 Within the same firm, one employee is paid a higher wage than another employee.

Which reason for the difference in their wage could be considered discrimination?

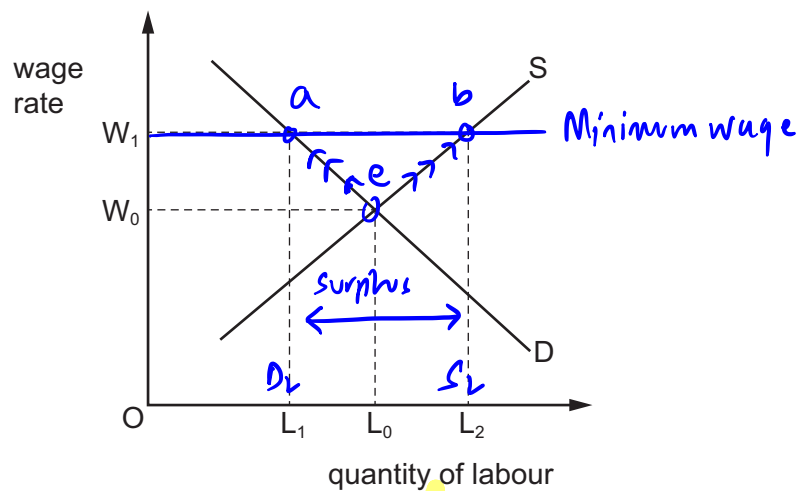
- ☒ A They are of different ages.
- B They have different levels of education.
- C They have different levels of productivity.
- D They have different levels of work experience.

→ This is discrimination!

This is a valid
reason for differences
in wages

- 11 The diagram shows the demand and supply curve of labour for a firm. The initial wage rate is given by W_0 and the equilibrium quantity of labour employed is L_0 .

A trade union that represents all of the workers negotiates a rise in wage rate to W_1 .



What is the amount of unemployment that results from this wage rise?

- A OL_1 B L_0L_2 C L_1L_0 ☒ D L_1L_2

- 12 A farmer introduces machinery to help workers at harvest time. The farmer also reduces the number of workers by 50%. As a result, the total harvest increases by 25%.

What has happened?

- A Labour productivity has decreased and production has decreased. *NO*
 B Labour productivity has decreased and production has increased. *NO*
 C Labour productivity has increased and production has decreased. *NO*
☒ D Labour productivity has increased and production has increased.

* Less labours are able to produce more, labour productivity ↑

* Total harvest (production) also increased by 25%.

- 13 A firm has fixed costs of \$20 and the following total variable costs.

	<i>ATC =</i>	<i>6</i>	<i>4</i>	<i>3.3</i>	<i>3</i>	<i>ATC ↓</i>
output		10	20	30	40	
total variable costs (\$)		40	60	80	100	
	<i>FC</i>	<i>20</i>	<i>20</i>	<i>20</i>	<i>20</i>	
	<i>TC = FC + VC</i>	<i>60</i>	<i>80</i>	<i>100</i>	<i>120</i>	

What happens to average total cost over this output range?

- ☒ A It falls continuously.
 B It falls then rises.
 C It rises continuously.
 D It rises then falls.

$$ATC = \frac{TC}{Q}$$

$$TC = FC + VC$$

↓ 2nd step.

14 The table shows the costs and output of a firm.

$$AFC = \frac{TFC}{Q} = \frac{2000}{10} = 200$$

total cost	\$10 000
total variable cost	\$8000
quantity	10

$$TC - VC = FC$$

$$10 - 8 = 2$$

What is the average fixed cost of the firm?

- ☒ A \$200 B \$800 C \$1000 D \$2000

'Secondary'

15 A clothing manufacturer expands by taking over a clothing retailer. 'Tertiary'

Which type of merger is this?

- A backward vertical, with primary
B conglomerate, diversify
☒ C forward vertical
D horizontal, same stage, same industry.

16 What is likely to happen if a previously competitive market becomes a monopoly?

	barriers to entry <i>High</i>	economies of scale <i>High</i>	the size of the firm <i>High</i>
☒ A	decrease	decrease	increases
B	decrease	increase	decreases
C	increase	decrease	decreases
D	increase	increase	increases

large firm
↓
competition ↓
so barriers are strong

large scale,
so EOS,
ATC ↓

17 Which macroeconomic aim, if achieved, is most likely to increase a government budget surplus?

- ☒ A full employment
B income redistribution, higher spending required
C low inflation, high spending required for growth
D balance of payments stability, doesn't affect budget surplus.

↓
G ↓ Tax revenue

full employment → high tax revenue
→ less spending required by government

- 18 The table shows the income tax rate paid by workers at different levels of income in selected years for a developed economy.

income band (\$)	tax rate year 1 (%)	tax rate year 2 (%)
0 to 4999	0	0
5000 to 9999	10	0
10 000 to 19 999	20	10
20 000 to 29 999	30	30
30 000 to 49 999	40	50
50 000+	40	60

low income earners, tax rate ↓

High income earners, tax rate ↑

What is most likely to have been the economic objective of the government in changing the tax rates between year 1 and year 2?

- A to reduce a current account deficit, Expenditure reducing $\leftarrow$ Tax ↑ interest rate ↑
- ☒ B to reduce income inequality Higher progressive tax, redistribution of income.
- C to reduce inflation, Fiscal policy, Tax ↑
- D to reduce structural unemployment, Training and education, supply side

- 19 A government attempts to raise economic growth with a policy of reduced interest rates.

Which other government objective is most likely to be helped in the short run? Interest rate ↓,

- ☒ A lower unemployment $AD \uparrow$, employment ↑ $C \uparrow, I \uparrow$
- B price stability, interest rate ↓, $AD \uparrow$, $AD \uparrow > AS$, $P \uparrow$ $AD \uparrow$, employment ↑
- C reduced income inequality, related to Taxation
- D reduced trade deficit, interest rate ↓, spend ↑, import ↑, deficit ↑.

- 20 What is the definition of a supply-side policy? $AS \uparrow$

- A any policy designed to decrease inflation $\rightarrow$ Fiscal, monetary, supply side
- B any policy designed to decrease unemployment $\rightarrow$
- C any policy designed to increase imports Unlikely, a policy to raise imports.
- ☒ D any policy designed to increase productivity $AS \uparrow$

- 21 Subsistence farming is the practice of growing crops and raising livestock sufficient only for one's own use without any surplus for trade.

Why is it difficult for a government to measure economic growth in an economy based on subsistence farming?

- ☒ A Farmers' families consume most of their own produce.
☐ B Farmers have low rates of saving.
☐ C The size of harvest is dependent on the weather.
☐ D The surplus produce is sold to the government.

Not available for trade (not recorded)
 Doesn't relate to the difficulty for a government to measure economic growth

- 22 What is necessary for a worker to be classified as unemployed? (willing to do)

	the worker does not have a paid job	the worker is prepared to work	the worker will accept the current wage rate
A	yes	no	no
B	yes	no	yes ✓
C	yes	yes ✓	no
☒ D	yes	yes ✓	yes ✓

rate of inflation ↑

- 23 What is most likely to increase when the rate of inflation gradually changes from 2% to 8% in one year?

- ☒ A the cost of updating existing price lists menu cost
☐ B the level of business confidence fall
☐ C the real income of fixed-income earners fall
☐ D the real value of consumer debt fall

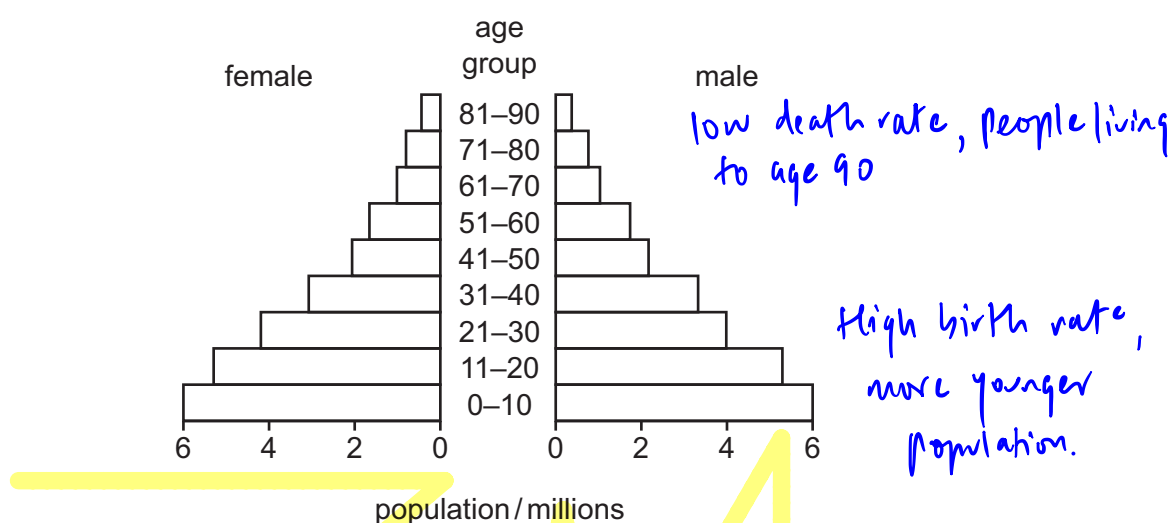
- 24 The introduction of a minimum hourly wage in an industry aims to reduce poverty among low-paid workers.

What is an advantage to workers of an effective national minimum wage?

- A All workers get paid according to their level of productivity. No, minimum wage is a law, fixed
 B Firms may look to increase capital equipment rather than labour. Not an advantage
 C Levels of employment become more dependent on wage differences. No wage difference, as minimum wage is imposed
☒ D Redistribution of a firm's income rewards labour rather than owners.

as it is effective national minimum wage

25 The chart shows the population pyramid for a country.



What is most likely to cause the population pyramid to be shaped in this way?

	birth rate	death rate
A	low	low ✓
B	low	high
C	high ✓	low ✓
D	high ✓	high

26 The table shows information on four countries.

Which country is likely to be the most developed?

	<u>low</u> population (million)	<u>High</u> Gross Domestic Product (GDP) (\$ billion)	<u>High</u> life expectancy (years)
A	100 ✓	800	51
B	200 ✓	6000 ✓	62 ✓
C	300	600	48
D	1000	1600	63 ✓

GDP per head could be calculated, again answer will be B!

$$\text{GDP per head} = \frac{\text{GDP}}{\text{Total population}}$$

Free trade

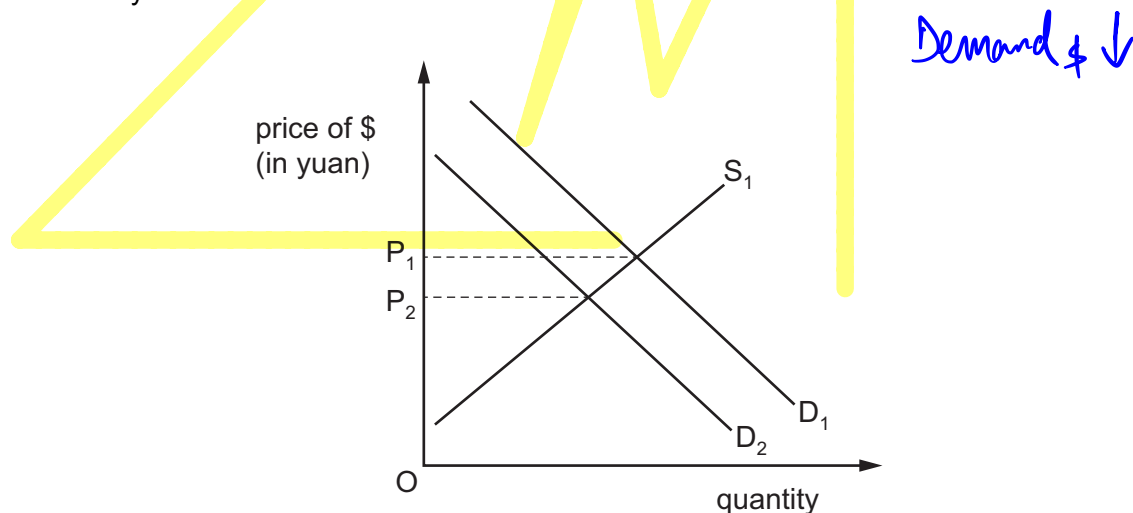
27 What is an advantage to a firm of specialisation at a national level?

- A dependency on supplies from other countries *Disadvantage*
- B greater competition from overseas firms *disadvantage*
- C greater depletion of the country's natural resources *disadvantage*
- ✓ D lower average costs due to economies of scale *advantage, efficient allocation of resources, less/no wastage.*

28 What is an intended outcome of protecting infant industries from free trade?

- A to decrease the competitiveness of domestic firms *That's not the intention*
- B to decrease the demand for exported goods *No intention of reducing exports*
- ✓ C to increase employment in domestic firms *If infant survives, generates employment, intent*
- D to increase the supply of imported goods *protectionism reduces imports*

29 In the diagram, curves D_1 and S_1 relate to the demand and supply of the US dollar (\$) against the Chinese yuan.



What is most likely to cause the demand curve for US dollars to shift from D_1 to D_2 ?

- A a fall in Chinese interest rates *Demand yuan ↓*
- ✓ B a fall in US interest rates *Demand \$ ↓ (FDI ↓)*
- C a faster growth rate in the US economy *D \$ ↑*
- D a reduction in the US government budget deficit

↳ Related to government spending and tax revenue

(-ve)

30 Brazil had a balance of payments current account deficit of US\$23.5 billion.

Which policy is most likely to reduce the current account deficit in Brazil?

- ✓ A depreciate Brazil's currency , $X_p \downarrow$, $M_p \uparrow$, BoT deficit $\downarrow$
- B reduce rates of income tax in Brazil , $Disposable\ income \uparrow$, $C \uparrow$, $imports \uparrow$, deficit $\uparrow$
- C reduce subsidies to Brazil's exporting firms , $cost \uparrow$, $X_p \uparrow$, deficit $\uparrow$
- D reduce tariffs on Brazil's imports , $cheaper\ imports$, deficit $\uparrow$

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